CLIMATE STRATEGY

Granite's approach to reducing our emissions and carbon footprint is two-fold:

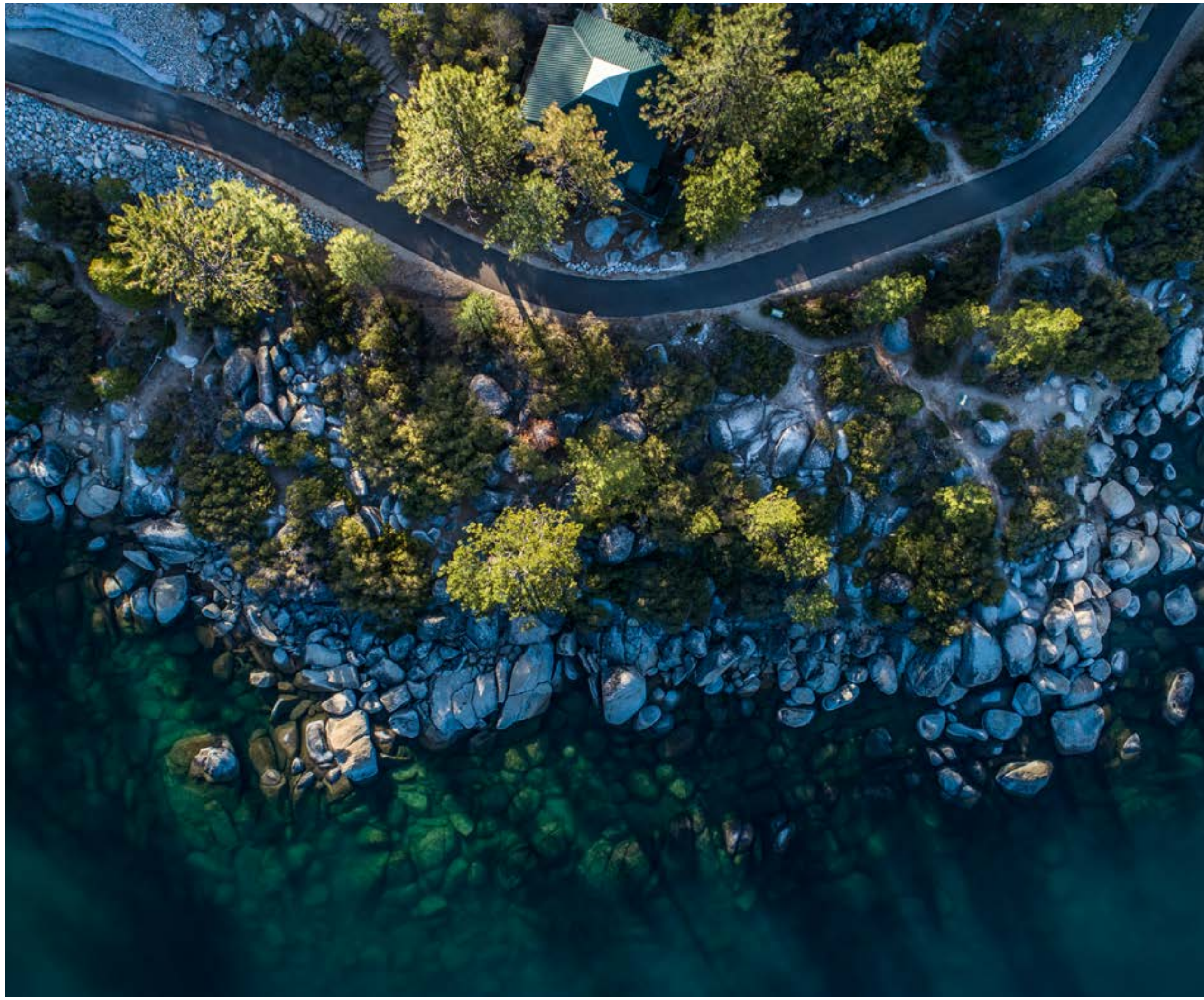
1. Improving data collection and reporting systems to quantify GHG emissions more accurately
2. Investing in technologies and practices that directly and immediately reduce our emissions in Scopes 1 and 2

We are working on these two priorities simultaneously because we recognize the importance of minimizing our impacts as much as possible as quickly as possible.

As an overview, Granite's current investments in technologies and practices that directly and immediately reduce our emissions include:

- Investing in fuel- and emissions-efficient equipment, including transitioning to hybrid technology construction equipment
- Participating in equipment upgrade programs allowing retirement of older and less efficient equipment
- Transitioning to the use of alternative fuels, resulting in immediate and direct air pollutant reductions
- Implementing the use of telematics in our vehicle and equipment fleet to improve fuel efficiency
- Using solar power at three of our construction materials facilities
- Utilizing lower impact processes at our asphaltic concrete plants, such as warm-mix asphalt production, which allows asphalt production at lower temperatures and consequently reduces fuel consumption
- Incorporating recycled products, such as recycled asphalt pavement and reclaimed asphalt shingles, in the production of construction materials (as permitted by specifications and product quality)

More information, including details on investments made and plant locations, is available in our Supplemental Sustainability Update.



CARBON FOOTPRINT ASSESSMENT

Scope 1

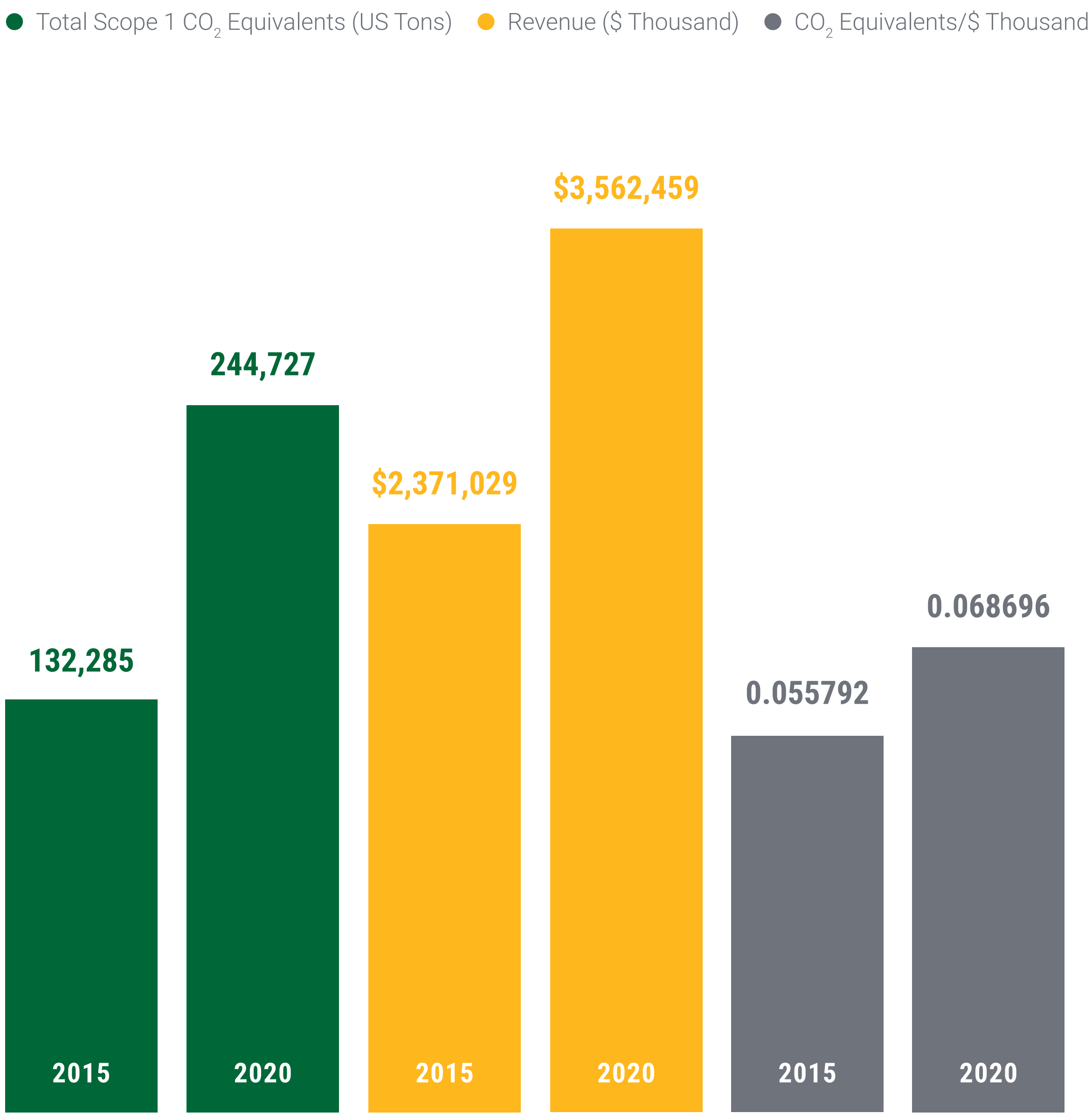
2020 OBJECTIVE ASSESSMENT:

Our emissions are directly correlated to business volumes and fluctuations in each year, so our approach is to compare emissions as they relate to annual revenues. We shared our first Scope 1 assessment in our 2016 Sustainability Progress Report and use the 2015 baseline therein to assess our progress. We did not meet our 2020 objective to reduce GHG emissions/fuel consumption associated with mobile fleet and asphalt plant operations by two percent year-over-year. Emissions increased in total and as normalized per revenue. This increase is primarily due to growth through acquisition, which increased the size of our fleet and shifted the balance of emissions as normalized by revenue in new markets.

Our Scope 1 assessment follows the Greenhouse Gas Protocol principles and methodologies established by the World Business Council for Sustainable Development, and includes carbon dioxide, methane, and nitrous oxide, reported in equivalent CO_2 (US tons) where available. The following emissions sources were included:

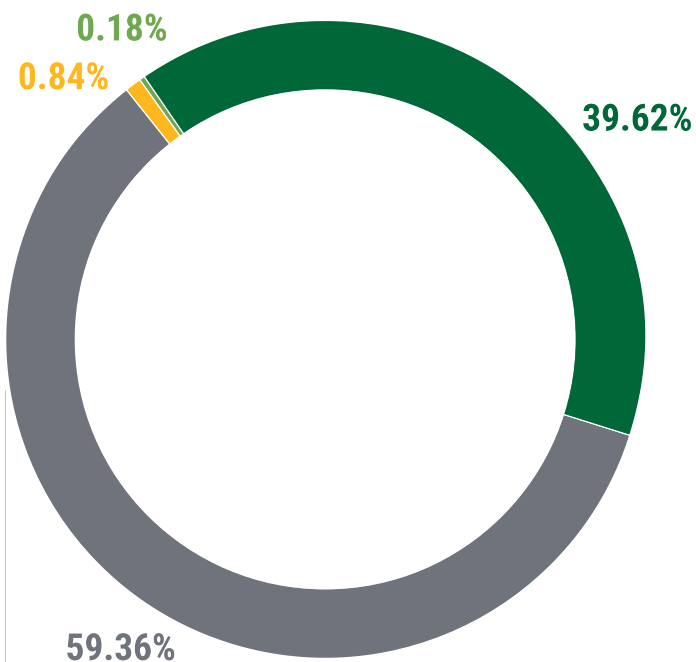
- Mobile sources (light-duty and heavy-duty vehicles/equipment and corporate jet)
  - Rental equipment is not included; however, some fuel consumption from rental equipment is included (dependent on agreements)
  - Calculations are based on bulk fuel combustion for CO_2 only; methane and nitrous oxide emissions factors for mobile equipment are not included due to data gaps; we are currently implementing a solution to address these gaps
- Inliner thermal processing (fuel used to heat water for liner curing process; includes CO_2 only)
- Asphalt plant production (includes CO_2 Equivalents)
- Granite-owned diesel generators (includes CO_2 Equivalents)
- Indoor heating of Granite-owned facilities where provided by fuel combustion (primarily natural gas; CO_2 only)

Baseline 2015 vs. 2020



Scope 1: Breakdown by Source

Scope 1 CO_2 Equivalents (US Tons) with % by Source



244,727.61
Total Scope 1

New Priority Target for GHG Reduction:
Reduce total Scope 1 GHG emissions by 25% by 2030 from 2020 baseline.

We intend to add Scope 2 to this target once we collect baseline data (for which a solution is currently being implemented). We also recognize that we may need to revise this target as we continue to develop our road map for emissions reduction.

Scope 2:

Scope 2 data on electricity use is not yet available. We are currently implementing a solution that will capture this information.

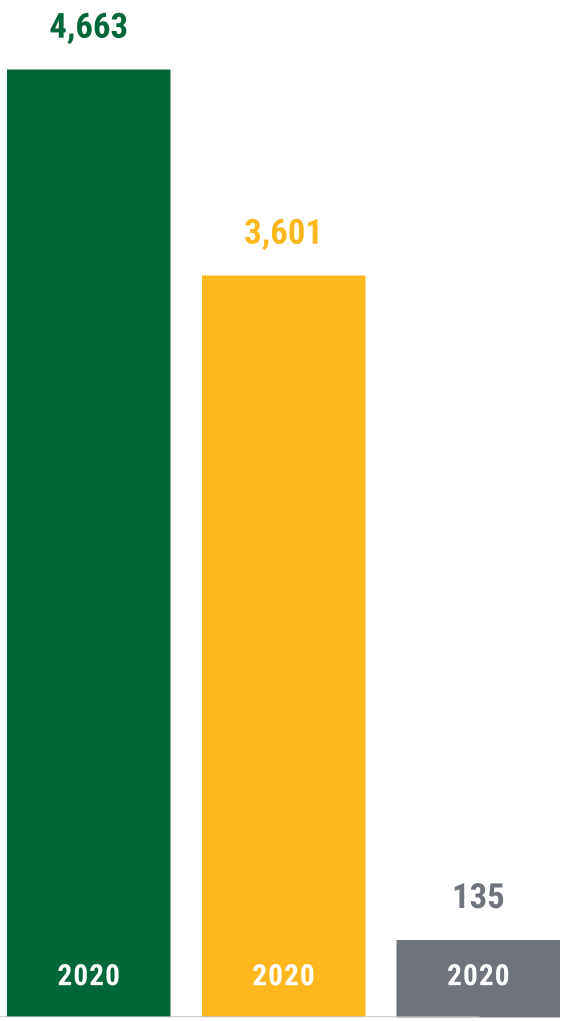
Scope 3:

Emissions from employee business travel (not including standard commuting) was calculated from data gathered from a company travel platform and then extrapolated to other travel based on purchasing card data. This information is based on estimates and includes CO_2 only (not equivalents).

8,399
Travel: Total Estimated CO_2 Emissions

Scope 3: 2020 Employee Travel

Estimated CO_2 Emissions (US Tons)



Learn more about sustainable practices at our plants.

INVESTING IN CLEANER TECHNOLOGIES AT OUR PLANTS

Energy Efficiency

Since 2012, Granite has invested substantially in energy conservation technologies at our construction materials facilities. Key examples of such energy conservation improvements include:

- Installing on-site solar power at three plant locations
- Insulating piping and drums to prevent loss of energy, reducing fuel consumption and emissions
- Installing variable frequency drive technology to increase efficiency in plant operation, reducing electric power demand
- Replacing parallel flow drum plants with counterflow drum plants—counterflow plants allow more heat to be transferred from the burner to the finished asphalt product, increasing efficiency in heating and thus lowering fuel consumption
- Installing warm-mix asphalt systems to allow asphalt production at lower temperatures to reduce energy use—Granite was an early adaptor to drive this innovation and currently has 28 asphalt plants that have been retrofitted to produce warm-mix asphalt
- Optimizing recycled asphalt product content based upon finished product quality to reduce consumption of natural resources—all of Granite's asphaltic concrete plants have recycled asphalt product systems

Battery Demand Management Systems

Battery demand management systems at Granite materials facilities reduce electrical costs and make the electrical grid more resilient by shifting demand from peak periods to periods with additional capacity. These systems charge a battery during periods of low demand (when power is cheaper). The power is stored on-site in batteries, and later consumed during periods of peak demand, reducing power drawn from the grid during peak demand. Software determines when to charge the batteries and when to use the power for plant equipment. Granite has five battery backup systems currently operating at materials facilities. Granite is currently planning to deploy battery systems in two additional facilities in 2021.

California has suffered major rolling blackouts, causing Pacific Gas & Electric (PG&E) to request more of their customers install these battery power-packs. In 2020, PG&E increased the incentives to install batteries by lowering power rates for customers with battery power-packs. Plants therefore benefit from a reduction in energy bills—allowing them to contribute to the resilience of the power grid while continuing to provide competitive pricing to our customers.

GRI CODE	METRIC/DESCRIPTION	RESPONSE/COMMENT	CORRESPONDING SDGS	CORRESPONDING SASB OR TCFD METRICS
GRI 205: Anti-Corruption				
205-2	Communication and training about anti-corruption policies and procedures	(1) All employees are exposed to Anti-Bribery and FCPA Policy and Antitrust Laws and Fair Competition Standards during onboarding and annually through Code of Conduct certification process. Employee count: 2,518 = Anti-Bribery/FCPA Policy; 2,518 = Antitrust and Fair Competition Standards; (2) Non-craft employees situated in foreign countries, or who have been identified as individuals who are regularly exposed or have potential to conduct business on behalf of the company in foreign jurisdictions are given training on Granite's Anti-Bribery and FCPA Policy. All non-craft employees are enrolled at onboarding in Antitrust Laws and Fair Competition Training. Employee count: 427 = Antitrust and Fair Competition Standards (91%); 1 = Anti-Bribery/FCPA Training (100%); 2,838 = Code of Conduct Refresher (90%)	SDG 16.5	SASB: IF-EN-510a.3
205-3	Confirmed incidents of corruption and actions taken	None		SASB: IF-EN-510a.2
GRI 301: Materials				
301-2	Recycled input materials used	Asphaltic concrete production: 18.89%; calculation of (total tons recycled content input)/(total tons asphaltic concrete produced)	SDG 8.4 SDG 12.5	
GRI 302: Energy				
302-1	Energy consumption within the organization	Not yet available; implementing reporting improvements	SDG 7.3 SDG 8.4 SDG 12.2	SASB: EM-CM-130a.1
GRI 303: Water				
303-1	Water withdrawal by source in Megalitres (ML)	Disclosure limited in scope to material facilities in California with metered wells (approximately 15 out of 19 facilities). Withdrawal type: groundwater wells. Approximate water withdrawn: 4,241.6974 ML.		SASB: EM-CM-140a.1

GRI CODE	METRIC/DESCRIPTION	RESPONSE/COMMENT	CORRESPONDING SDGS	CORRESPONDING SASB OR TCFD METRICS
303-3	Water recycled and reused, in Megalitres (ML)	Disclosure limited in scope to material facilities in California with metered wells (approximately 15 out of 19 facilities). Facilities use closed loop systems, whereby all post-processing water is reclaimed and recirculated through the system (meaning the total volume recycled and reused can exceed the total withdrawm). Consumptive use (approximately 25%) is limited to water lost to evaporation, dust control, and product capture (i.e., water absorbed by sand/gravel during washing). Analysis for permitting efforts for Big Rock and Solari Quarry indicate that we reclaim between 75%-85% of water for reuse. A conservative estimate of 75% was applied for this analysis. Estimated water recycled/reused: 101,800.7365 ML.		SASB: EM-CM-140a.1
GRI 304: Biodiversity				
304-3	Habitats protected or restored	p. 75-76; total disclosure not yet available; assessing reporting improvements	SDG 14.5 SDG 15.5	SASB: EM-CM-160a.2
GRI 305: Emissions				
305-1	Direct (Scope 1) GHG emissions	244,727.61 CO_2 equivalents (US tons); p. 66-67	SDG 12.4 SDG 13.2	SASB: EM-CM-110a.1
305-2	Energy indirect (Scope 2) GHG emissions	Not yet available; implementing reporting improvements	SDG 12.4 SDG 13.2	
305-3	Other indirect (Scope 3) GHG emissions	Partial in scope, includes employee travel only: estimated 8,399 CO_2 (US tons); p. 66-67	SDG 12.4 SDG 13.2	
305-4	GHG emissions intensity	0.068696 CO_2 Equivalent (US tons)/Thousand $	SDG 12.4 SDG 13.2	
305-5	Reduction of GHG emissions	p. 63-70; case study p. 69; assessing reporting improvements	SDG 12.4 SDG 13.2	
305-7	Nitrogen oxides, sulfur oxides, and other significant air emissions	Disclosure limited in scope to 12 plants with readily available data, in tons (t): (1) NOx=23.17 t; (2) SOx=5.08 t; (3) PM=26.54 t; (4) VOCs=11.22 t; (5) CO=112.95 t. Assessing reporting improvements.	SDG 3.9 SDG 12.4 SDG 13.2	SASB: EM-CM-120a.1
GRI 306: Effluents & Waste				
306-2	Waste by type and disposal method	Disclosure limited in scope to hazardous waste in California operations. Total hazardous waste: 119.08 tons; hazardous waste recycled: 58%	SDG 6.3 SDG 12.5	SASB: EM-CM-150a.1

GRI CODE	METRIC/DESCRIPTION	RESPONSE/COMMENT	CORRESPONDING SDGS	CORRESPONDING SASB OR TCFD METRICS

GRI 307: Environmental Compliance

GRI CODE	METRIC/DESCRIPTION	RESPONSE/COMMENT	CORRESPONDING SDGS	CORRESPONDING SASB OR TCFD METRICS
307-1	Non-compliance with environmental laws and regulations	2 incidents total. (1) Granite self-reported a notice of violation for failure to use a registered hazardous waste transporter to transport hazardous waste; no penalty yet assessed; Granite remediated by providing additional training to crews. (2) Code violation for turbid water discharge into a surface water canal in Florida; fine $500; Granite implemented Corrective Action Plan including additional best management practices protection and staff training, and required applicable staff to complete Florida Stormwater, Erosion and Sediment Control Inspector's Course.	SDG 16.6	SASB: IF-EN-160a.1

GRI 401: Employment

401-1 New employee hires and employee turnover

SDG 5.0
SDG 9.3
SDG 8.5

Operating Group	Female	Male	Hourly	Salaried	Total
California					
New Hires	88	1199	1170	117	1287
Total Turnover	43	341	320	64	384
Corporate					
New Hires	28	27	10	45	55
Total Turnover	18	22	9	31	40
Federal					
New Hires	13	129	108	34	142
Total Turnover	8	86	70	24	94
Heavy Civil					
New Hires	54	672	640	86	726
Total Turnover	76	932	892	116	1008
Midwest					
New Hires	11	240	230	21	251
Total Turnover	14	138	103	49	152